Arizona (:)

AUGUST 2026 Gambling Market & Regulatory Brief · Published 16 Oct 2026 (ADG Event Wagering & Fantasy Sports Revenue Reports – August 2026, unaudited) · Currency USD (tables in $ millions unless stated)

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B2Tech · via Merlin

THE ONE-LINE VERDICT

August 2026 was Arizona's softest month of the year: handle $582.8m (−4.6% YoY, −2.8% MoM), gross hold back to ~8.7% from an unusually book-friendly 10.1% a year earlier, and state privilege fees down 12% to ~$3.6m — a reminder that a 10%-of-adjusted-receipts, promo-deductible regime yields the state only ~0.6% of handle. Structurally nothing moved: a 99.7% mobile market, FanDuel/DraftKings holding 60% of handle (top four 82%), licence access gated through tribes or pro-sports franchises, and a governor who has already put a 45% rate for scale operators on the table.

HANDLE (AUG-26)	MOBILE SHARE OF HANDLE	GROSS HOLD (DERIVED)	STATE PRIVILEGE FEES	FANDUEL HANDLE SHARE	SINCE LAUNCH (SEP-21)
$582.8m	**99.7%**	**~8.7%**	**~$3.6m**	**32.0%**	**$37.1bn handle**
−4.6% YoY / −2.8% MoM; 2026 low	$581.2m mobile vs $1.6m retail	vs 10.1% Aug-25; win ~$50.8m (−17%)	−12% YoY ($4.1m); −27% MoM ($4.9m)	#1 ($186.4m) vs DraftKings 28.0% ($163.4m)	$202.5m privilege fees (0.55% of handle)

1 EXECUTIVE SUMMARY

- **Handle fell to a 2026 low.** Arizonans wagered $582.8m on sports and events in August 2026 per the Arizona Department of Gaming (ADG), −4.6% YoY against $610.7m in August 2025 and −2.8% MoM against $599.5m in July. It is the second YoY decline in four months (May −4.3%) after June (+22.3%) and July (+29.3%) were flattered — on our reading — by the FIFA World Cup window; ADG itself offers no attribution.
- **Mobile is the market.** $581.2m (99.7%) was staked via mobile apps and $1.6m (0.3%) at retail books and Limited Event Wagering Operator (LEWO) sites; retail handle fell ~11% YoY. AGA puts mobile at 99.5% of CY2025 statewide sportsbook revenue ($838.7m) with retail revenue of just $2.7m.
- **Hold normalised and revenue fell faster than handle.** Operators paid out ~$532m, implying gross win of ~$50.8m (8.7% of handle) versus ~$61.4m (10.1%) in August 2025 — a −17% YoY swing in gross revenue on −4.6% handle (derived from ADG-reported payouts; the ADG line items are labelled unaudited and self-reported).
- **Promo deductions remain the biggest wedge between GGR and the tax base.** Privilege fees of ~$3.6m at the 10% mobile rate imply ~$36m of taxable adjusted gross event wagering receipts (AGEWR), so roughly $13m of free bets/promotional credits were deducted (~27% of pre-promo AGEWR, ~2.3% of handle) — down from $18.4m (31%) in August 2025 and $21.7m (41%) in June 2026.
- **The state's yield is thin by design.** FY2026 (Jul-25–Jun-26): handle $9,077.5m, AGEWR subject to privilege fees $579.2m (6.4% of handle), event-wagering privilege fees $57.76m (9.97% of the taxable base), total EWFS privilege and licensing fees $61.08m (ADG FY2026 Annual Report). Cumulative since the 9 Sep 2021 launch: $37.1bn handle, $202.5m fees — 0.55% of handle.
- **FY2027 has started with volume up but fees down.** Jul–Aug 2026 handle of $1,182.3m is ~+10% on the same months of FY2026 (derived), yet privilege fees of $11.8m ($11.5m event wagering + $238,714 fantasy) sit below the ~$10m+ run-rate implied by last year's hold; June 2026 showed the extreme case — handle +22% YoY, taxable AGEWR down to $30.7m from $50.5m, fees −39%.
- **A duopoly with a credible #3.** August handle: FanDuel $186.4m (32.0%), DraftKings $163.4m (28.0%), Fanatics $71.0m (12.2%), BetMGM ~$55m (9.4%), bet365 ~$43m (7.4%), Caesars ~$31m (5.3%), Hard Rock ~$11m (1.9%), theScore Bet ~$8m (1.4%); all others (Desert Diamond, BetRivers, Bally Bet, Golden Nugget, retail/LEWO) ~$14m (2.4%). Top-two 60%, top-four 82%. FanDuel regained the handle lead it lost to DraftKings in June ($197m vs $195m) and consistently leads on revenue (Jan–Feb 2026 gross: FanDuel $50.8m vs DraftKings $45.8m on 11%+ holds).
- **Licensing is capped and partner-gated.** HB 2772 (signed 15 Apr 2021; A.R.S. §5-1301 et seq.) allows a maximum of 20 event wagering operator licences — 10 for tribes that signed the 2021 Amended & Restated Compact and 10 for professional sports franchises/facilities (incl. the PGA Tour tournament host, the NASCAR promoter and a Maricopa County horse-racing permittee) — each with one mobile platform plus retail within five blocks of the venue, plus up to 10 retail-only LEWO licences for racetracks/OTBs. ADG lists 15 event wagering licensees, two of which have ceased and one has not launched (Fox10, Sep-26); a trade tracker counted 18 of 20 slots issued in March 2026 — the gap reflects surrendered allocations.
- **New supply is trickling in.** ADG re-opened applications for available licences in May 2026 and on 3 Aug 2026 allocated an operator licence to Circa Sports Arizona LLC as designee of the San Juan Southern Paiute Tribe, with launch potentially in Q1 2027. Sporttrade (Quechan Tribe designee, launched 26 Sep 2024) exited after just $20.4m cumulative handle and $290,581 gross revenue through March 2026; PENN's ESPN Bet was replaced by theScore Bet.
- **Tax regime: 10% mobile / 8% retail on AGEWR, statutory cap 10%.** A.R.S. §5-1318 caps the privilege fee at 10% of AGEWR (gross receipts ex-voids, minus winnings and the 0.25% federal excise); ADG set 10% for mobile and 8% for retail. Fantasy contests pay 5% of adjusted revenue (statutory cap 10%). Fees are due by the 25th of the following month; 90% flows to the General Fund and 10% is retained by ADG in the Event Wagering Fund.
- **The promo deduction is scheduled to disappear — timing unverified.** The enabling statute limits the free-bet/promo deduction to five years from 15 April 2021 on a declining cap (20% of gross receipts in years 1–2, 15% in year 3, 10% in years 4–5) and bars it thereafter; the June and August 2026 reports nonetheless still show deductions being taken, so the operative sunset date (licence-year vs statutory-year basis) is [unverified]. If applied, the taxable base would rise ~30–40% at constant GGR.
- **Political risk is live.** Governor Hobbs' FY2027 executive budget (Jan 2026) proposed a 45% privilege fee for operators with ≥$75m monthly handle (ADG confirmed the handle basis) — in practice FanDuel, DraftKings, Fanatics and BetMGM — scored at $145.9m in FY2027

rising to $202.4m by FY2029. It required either a Prop 108 two-thirds supermajority in a Republican-controlled legislature or acceptance of the administration's 'fee not tax' argument; the August 2026 fee take is consistent with an unchanged 10% rate, so the hike was not in force [final budget text not reviewed]. Expect a reprise in the January 2027 budget.

- **Fantasy is a legal, lightly taxed adjacency.** August 2026 in-state entry fees $8.2m, adjusted revenue $1.6m (19.5% take), privilege fees ~$78k; PrizePicks $3.5m (43%), DraftKings $2.3m (28%), FanDuel $1.0m (12%), Underdog $0.9m (11%). FY2026: entry fees $143.9m, adjusted revenue $26.6m, fees ~$1.3m.
- **No online casino and no commercial casinos.** Class III casino gaming is tribal-exclusive under the 2021 compact; iGaming is not authorised and no 2026 bill advanced. Any online casino route runs through compact renegotiation with the tribes, not the legislature alone.
- **Payments and player protection are standard-US, with a few Arizona specifics.** 21+; helpline 1-800-NEXT-STEP; ADG statewide self-exclusion; player funds must sit in segregated accounts with a reserve of the greater of $500,000 or player liabilities (A.A.C. R19-4); operators must intercept winnings for past-due obligations (FY2026 set-offs per ADG: Courts $393,600, child support $121,973, SNAP $6,353, AHCCCS $0); September 2026 was Responsible Gaming Education Month. Deposit-method mix is not published by ADG [n/a].
- **Data quality caveat.** Since May 2025 ADG stamps every monthly report as operator self-reported and unaudited; it received 13 of 14 independent FY2025 audit reports under §5-1319 and is still reconciling over/under-payments. Monthly figures can be restated.
- **Benchmarks.** Arizona ranked #5 nationally by August 2025 handle ($610.7m, behind NY, IL, NJ, OH) and #6–7 YTD; the 10% rate is the fifth-lowest among US states (vs NY 51%, IL 20–40% plus per-bet fees, NJ 19.75%). Two-year August CAGR is +8.3% (Aug-24 $496.6m), down from +23% YoY growth in 2025.
- **Read-through for B2Tech.** Arizona is one of the most operator-friendly fiscal regimes in the US (effective fee ~6–7% of GGR after promo deductions), mobile-native and deep (~$9bn annual handle). But access requires a tribal or sports-franchise designee deal in a 20-slot market with few vacancies, 82% of handle sits with four brands, sub-scale entrants have failed (Sporttrade), and the governor is targeting scale operators with a 45% tier. A realistic entry outcome is a #5–#8 position at $30–55m monthly handle; the economics only work with a differentiated product and a partner revenue-share that is modelled against a 20–45% stress-case tax.

2 MARKET SUMMARY

US $M (ADG UNAUDITED; 'DERIVED' = CALCULATED FROM ADG-REPORTED PAYOUTS/FEES)	AUG-26	MOM	YOY	FY27 YTD (JUL–AUG 26)	FY26 (JUL-25–JUN-26)
SPORTS BETTING (EVENT WAGERING)					
Handle (gross event wagering receipts)	**582.8**	**−2.8%**	**−4.6%**	**1,182.3**	**9,077.5**
Mobile handle	581.2	n/a	−4.5%	n/a	n/a
Retail + LEWO handle	1.6	n/a	−11%	n/a	n/a
Winnings paid to players	~532	n/a	−3.1%	n/a	n/a
Gross win (handle − payouts) — derived	~50.8	n/a	~−17%	n/a	n/a
AGEWR before promo deduction (after 0.25% federal excise) — derived	~49.3	n/a	~−18%	n/a	n/a
Free-bet / promo deduction — derived	~13.3	n/a	~−28%	n/a	n/a
AGEWR subject to privilege fee — derived (FY26 per ADG)	**~36.0**	**n/a**	**~−13%**	**n/a**	**579.2**
Gross hold (win / handle)	~8.7%	n/a	10.1% in Aug-25	n/a	n/a
Taxable hold (taxable AGEWR / handle)	~6.2%	n/a	6.8% in Aug-25	n/a	6.4%
Event wagering privilege fees	**~3.6**	**−27%**	**−12%**	**11.5**	**57.76**
Online penetration (share of handle)	99.7%	flat	99.7% in Aug-25	n/a	n/a (CY25 rev. 99.5%)
FANTASY SPORTS CONTESTS					
In-state entry fees	8.2	n/a	n/a	n/a	143.9
Adjusted revenue	1.6	n/a	n/a	n/a	26.6
Fantasy privilege fees (5%)	~0.08	n/a	n/a	0.24	~1.33 (derived)
TAX & LICENSING					
Tax base / rate	AGEWR: 10% mobile, 8% retail; FS 5% adj. rev.	—	unchanged	—	statutory cap 10% (§5-1318)
Total EWFS privilege + licensing fees	n/a	n/a	n/a	11.8	61.08
Event wagering licensees listed (cap 20)	15 (2 ceased, 1 pre-launch)	—	—	Circa allocated 3 Aug-26	—
Operator licence / application fee	n/a [unverified]	—	—	—	licensing receipts ~2.0 (derived)
CUMULATIVE SINCE SEP-2021 LAUNCH					
Handle	37,100	—	—	—	—
Event wagering privilege fees	202.5	—	—	—	—

3 DEEP-DIVE — SPORTS BETTING — MOBILE (THE MARKET)

A 2026-low $582.8m handle with hold normalising to ~8.7% and promo intensity easing; FanDuel back on top of a 60% duopoly.

AUGUST HANDLE

A 2026-low $582.8m handle, 99.7% mobile, down −4.6% YoY against a strong August 2025 comparison.

- $581.2m (99.7%) via mobile platforms and $1.6m through retail and LEWO windows.
- Seasonal trough between MLB and NFL; Diamondbacks' playoff push could not offset August 2025's $610.7m, itself +23% YoY.
- Two-year August CAGR of +8.3% (from $496.6m in August 2024) is a fairer read than −4.6%, but well below 2025's +18–23%.
- May–August pattern (−4.3%, +22.3%, +29.3%, −4.6%) best explained by June–July FIFA World Cup pulling forward activity; ADG does not attribute drivers.

HOLD AND PROMOS

Gross hold normalised to 8.7% (~$50.8m gross win) and promo deductions eased to ~$13m, 27% of pre-promo AGEWR.

- Payouts ~$532m imply gross win ~$50.8m versus ~$61.4m and 10.1% hold in August 2025, a fourth consecutive 10%-plus national hold month.
- Stripping the 0.25% federal excise (~$1.5m) gives pre-promo AGEWR ~$49.3m (8.5% of handle).
- Privilege fees ~$3.6m at 10% back out a taxable base ~$36m (6.2% of handle), implying ~$13m promo deductions (2.3% of handle).
- Compares with $18.4m (31%, 3.0%) a year earlier, $30.4m (37%, 3.1%) in October 2025 and $21.7m (41%, 3.3%) in June 2026.
- Derived revenue lines should be treated as ±$0.5m until PDF line items are audited; direction of lower hold and lower promo intensity is unambiguous.

OPERATOR SHARES

FanDuel ($186.4m, 32.0%) and DraftKings ($163.4m, 28.0%) form a 60% duopoly, with Fanatics a credible third at 12.2%.

- FanDuel +4.4% YoY; DraftKings −11.2% YoY from $184.0m; Fanatics $71.0m; BetMGM ~$55m (9.4%, ~−19% YoY from $67.5m).
- bet365 ~$43m (7.4%), Caesars ~$31m (5.3%), Hard Rock ~$11m (1.9%), theScore Bet ~$8m (1.4%); remaining ~$14m (2.4%) split among Desert Diamond, BetRivers, Bally Bet, Golden Nugget and retail/LEWO.
- Lead rotates on handle: DraftKings edged FanDuel in June 2026 ($197m vs $195m) and August 2025 ($184.0m vs $178.5m).
- FanDuel converts better: January–February 2026 gross revenue $50.8m on 11%-plus holds versus DraftKings' $45.8m (10.1% and 8.2%), while spending $16.7m on promotions ($10.5m in January).
- Operator-level revenue for August 2026 is not in the sources reviewed [n/a].

ENTRY SCALE CONTEXT

Realistic B2Tech entry is the bet365/Caesars tier, $30–55m monthly handle, yielding ~$2–4m monthly net revenue before partner revenue-share.

- Arizona was #5 US state by handle in August 2025 and #6–7 YTD; FY2026 handle $9.08bn, CY2025 GGR $838.7m (+18.5%, AGA) on ~9.1% gross hold.
- State fiscal yield is only ~0.6% of handle; June 2026 handle +22% but fees −39% drives the tax debate.
- Entry tier of 5–9% share at 8–9% hold and ~2–3% promo load gives ~$2–4m monthly net revenue.
- Sporttrade's exit at <$1m monthly handle shows the floor below which the Arizona cost base (licence, partner, marketing, 10% fee) does not clear.

US $M — ADG MONTHLY EVENT WAGERING REVENUE REPORTS (UNAUDITED). AUG-26 REVENUE LINES DERIVED FROM REPORTED PAYOUTS/FEES.	AUG-26	JUL-26	JUN-26	AUG-25	YOY (AUG)
Handle	**582.8**	**599.5**	**663.9**	**610.7**	**−4.6%**
Mobile handle	581.2	n/a	661.9	608.9	−4.5%
Retail + LEWO handle	1.6	n/a	2.1	1.8	−11%
Reported YoY handle growth	−4.6%	+29.3%	+22.3%	+23.0%	—
Winnings paid	~532	n/a	610.1	549.3*	−3.1%
Gross win (handle − payouts)	~50.8 (d)	n/a	53.8	61.4	~−17%
AGEWR before promo deduction	~49.3 (d)	n/a	52.4	59.9	~−18%
Promo / free-bet deduction	~13.3 (d)	n/a	21.7	18.4	~−28%
Taxable AGEWR	**~36.0 (d)**	**~49 (d)**	**30.7**	**41.5**	**~−13%**
Gross hold %	~8.7%	n/a	8.1%	10.1%	−1.4pp
Taxable hold %	~6.2%	n/a	4.6%	6.8%	−0.6pp
Promo as % of pre-promo AGEWR	~27%	n/a	41%	31%	—
Privilege fees	**~3.6**	**4.9**	**3.07**	**4.1**	**−12%**
Fees as % of handle	0.62%	0.82%	0.46%	0.67%	—

4 DEEP-DIVE — OPERATOR LANDSCAPE & LICENSING REGIME

Twenty capped licences, access only via a tribal or pro-sports designee deal; 15 listed licensees, churn at the bottom, Circa the newest allocation.

LEGAL FRAMEWORK

HB 2772 (15 April 2021), codified at A.R.S. Title 5, Chapter 10, splits 20 capped licences equally between compact tribes and pro-sports franchise owners or designees.

- §5-1302(B) makes ADG primary regulator for event wagering and fantasy sports (EWFS); rules at A.A.C. R19-4.
- Statute names TPC Scottsdale operator, Phoenix Raceway promoter and a Maricopa horse-racing permittee among eligible sports licensees.
- Each licence carries one mobile platform (typically run by a commercial designee) plus retail wagering within five blocks of the sports facility.
- Separate LEWO class allows up to 10 retail-only books at racetracks and OTBs; management services provider, supplier and individual licences complete the stack.
- Licence fee amounts not retrievable [n/a]; FY2026 accounts imply ~$2.0m licensing receipts ($61.08m total EWFS fees less $57.76m event-wagering and ~$1.33m fantasy fees).

LICENCE STOCK

Fifteen listed licensees with churn at the bottom; Sporttrade withdrew and Circa Sports Arizona received the newest allocation on 3 August 2026.

- ADG page shows 15 licensees, two ceased and one not yet launched (September 2026); a trade database counted 18 of 20 slots issued in March 2026.
- November 2025 report listed 14 mobile operators including Bally, bet365, BetMGM, Caesars, Desert Diamond, DraftKings, Fanatics, FanDuel, Golden Nugget, PENN/ESPN Bet, Plannatech, RSI, Hard Rock and Sporttrade.
- ESPN Bet became theScore Bet; Sporttrade (Quechan designee, launched 26 September 2024) withdrew after $20.4m handle and $290,581 gross revenue through March 2026.
- Circa allocated as designee for San Juan Southern Paiute Tribe under §5-1304 and R19-4-105/106, launch pencilled for Q1 2027.

MARKET CONCENTRATION

Top-two hold 60% of August handle and top-four 82%; a licence buys geolocation access, not customers.

- No operator outside the top six is above 2%.
- Incumbents' national databases, parlay product and promo budgets (FanDuel $10.5m in one month) set the cost of entry.
- Circa's sharp-book, low-promo model is the only differentiated recent entrant; its traction will test whether a #5–#8 position is buildable from scratch in 2027.

PARTNER GATING ITEM

B2Tech entry hinges on a tribal or sports-franchise designee deal with private revenue-share terms and scarce remaining slots.

- Every commercial brand operates as a designee; revenue-share terms are private [n/a].
- Latest allocation went to a tribe-designee pairing, so negotiation is as much about the tribe's or team's economics as the state's.
- Assume a multi-year designee agreement with revenue-share and minimum guarantee, ADG suitability review, a segregated-funds reserve of at least $500,000 and annual audit under §5-1319.

US $M HANDLE — ADG AUGUST 2026 REPORT AS REPRODUCED IN TRADE PRESS; SHARES DERIVED	AUG-26 HANDLE	SHARE	JUN-26 HANDLE	AUG-25 HANDLE	YOY
FanDuel	**186.4**	**32.0%**	**~195**	**178.5**	**+4.4%**
DraftKings (Crown Gaming)	**163.4**	**28.0%**	**~197**	**184.0**	**−11.2%**
Fanatics Sportsbook	71.0	12.2%	~70	n/a	n/a
BetMGM	~55	9.4%	~68	67.5	~−19%
bet365	~43	7.4%	50.9	n/a	n/a
Caesars (American Wagering)	~31	5.3%	n/a	n/a	n/a
Hard Rock Bet (Seminole Hard Rock Digital)	~11	1.9%	n/a	n/a	n/a
theScore Bet (PENN; ex-ESPN Bet)	~8	1.4%	n/a	n/a	n/a
Others — Desert Diamond, BetRivers, Bally Bet, Golden Nugget, retail/LEWO (derived)	~14	2.4%	n/a	n/a	n/a
Total market	**582.8**	**100%**	**663.9**	**610.7**	**−4.6%**
Top-2 share	349.8	60.0%	~59%	59.4%	—
Top-4 share	475.8	81.6%	~80%	n/a	—
Licence cap / listed licensees	20 (10 tribal + 10 sports) + 10 LEWO	15 listed; 2 ceased; 1 pre-launch	Circa allocated 3 Aug-26	Sporttrade exited 2026	—

5 DEEP-DIVE — RETAIL, FANTASY SPORTS & ADJACENT VERTICALS (CASINO, IGAMING, LOTTERY)

Retail is 0.3% of handle; fantasy is a $144m-a-year entry-fee adjacency taxed at 5%; casino is tribal-exclusive and iGaming is not on the table.

RETAIL WAGERING

Retail is a brand asset only: $1.6m (0.27%) of August 2026 handle, down ~11% YoY, and does not move the economics.

- Down from $1.8m a year earlier and $2.07m in June 2026; AGA CY2025 retail revenue $2.7m, reversing a ~$230k 2024 loss.
- Retail taxed at 8% of AGEWR versus 10% mobile, immaterial at these volumes.
- Venues are sportsbooks within five blocks of professional facilities and racetrack/OTB LEWOs regulated by ADG's Racing Division.
- A retail counter is only worth having if a sports-facility partner brings it.

FANTASY SPORTS

Fantasy is a $143.9m-a-year entry-fee adjacency taxed at 5% of adjusted revenue, half the sportsbook rate.

- Licensed under A.R.S. §5-1201; 5% fee (ceiling 10%), due by the 25th, late penalties 5% per month up to 25%.
- August 2026: entry fees $8.2m, adjusted revenue $1.6m (19.5% take), ~$78k fees; PrizePicks $3.5m (43%), DraftKings $2.3m (28%), FanDuel $1.0m (12%), Underdog $0.9m (11%).
- FY2026: $143.9m entry fees, $26.6m adjusted revenue (18.5% take), ~$1.3m fees.
- HB 4155 redirects fantasy and racing fees into the Event Wagering Fund (§5-1318) without changing rates.

CASINO AND IGAMING

Casino is tribal-exclusive under the 2021 Compact and online casino is not authorised, with no 2026 bill advancing.

- No commercial casinos (AGA); tribal contribution reports are the only casino-adjacent data (FY2026 figures not retrieved [n/a]).
- Any iGaming route would be a tribal negotiation first and legislation second because compact exclusivity is the binding constraint.
- 2021 law authorised Lottery keno and mobile draw games; figures outside ADG reporting [n/a].

B2TECH IMPLICATION

The addressable regulated pool is sports betting plus fantasy, with no near-term iGaming optionality to underwrite entry.

- A combined sportsbook-and-pick'em stack is legal and the fantasy fee is lighter.
- ADG licences them separately; the sportsbook licence is the scarce asset.

US $M — ADG AUGUST 2026 FANTASY AND EVENT WAGERING REPORTS; FY2026 FROM ADG ANNUAL REPORT	AUG-26	JUN-26	FY26	BASIS / NOTE
Retail + LEWO handle	1.6	2.07	n/a	0.27% of total; −11% YoY
Retail revenue (CY2025, AGA)	n/a	n/a	2.7 (CY25)	vs ~−0.23 loss in CY24
Retail privilege fee rate	8% of AGEWR	8%	8%	mobile 10%
Fantasy in-state entry fees	**8.2**	**9.31**	**143.9**	**self-reported**
Fantasy adjusted revenue	1.6	1.74	26.6	take 19.5% (Aug) / 18.5% (FY26)
Fantasy privilege fees (5%)	~0.08	~0.09	~1.33 (d)	statutory cap 10%
PrizePicks entry fees	3.5 (43%)	n/a	n/a	#1
DraftKings fantasy entry fees	2.3 (28%)	n/a	n/a	#2
FanDuel fantasy entry fees	1.0 (12%)	n/a	n/a	#3
Underdog Fantasy entry fees	0.9 (11%)	n/a	n/a	#4
Online casino (iGaming)	not authorised	—	—	tribal compact exclusivity
Tribal casino GGR	n/a	n/a	n/a	not published by ADG; contributions report only

6 DEEP-DIVE — TAX REGIME & FISCAL POLITICS

10%/8% of promo-deductible AGEWR (effective ~6–7% of GGR) — the fifth-lowest US rate — with a statutory promo sunset pending and a 45% tier already proposed by the governor.

PRIVILEGE FEE STRUCTURE

10% mobile / 8% retail on promo-deductible AGEWR yields an effective ~6–7% of GGR, the fifth-lowest US rate.

- Base is gross receipts excluding voided bets, minus winnings paid and the 0.25% federal excise; §5-1318 caps the fee at 10%; cash or modified-accrual accounting allowed.
- Promo deduction capped at 20% of gross receipts in years one and two, 15% in year three, 10% in years four and five, barred after year five.
- Actual deductions of 2.3–3.3% of handle never approached the cap but remove 27–41% of pre-promo AGEWR, cutting the fee to ~0.6% of handle.
- Deductions still taken in June and August 2026 reports; the operative sunset date is [unverified] and is the single most important modelling question for FY2027–28.
- At constant GGR, ending the deduction would lift the taxable base by roughly 30–40%.

FISCAL TAKE

FY2026 event-wagering fees were $57.76m on a $579.2m taxable base (9.97%), modest and volatile month to month.

- Total EWFS privilege and licensing fees $61.08m; CY2025 state tax $53.7m (+25.7%, AGA) on $838.7m GGR; cumulative fees $202.5m on $37.1bn handle.
- October 2025 (record $967.1m handle, $83.0m GGR, $30.4m promos, $51.6m taxable) yielded $5.2m.
- June 2026 ($663.9m handle, +22% YoY) yielded $3.07m versus ~$5.05m a year earlier; August 2026 ~$3.6m versus $4.1m.
- 90% of fees go to the General Fund, 10% to ADG's Event Wagering Fund; HB 4155 folds racing and fantasy deposits into the same fund.

45% TIER PROPOSAL

Governor Hobbs' FY2027 budget proposed a 45% fee on operators with $75m-plus monthly handle; not enacted, but a 2027 reprise is expected.

- $17.7bn budget (January 2026); ADG confirmed the threshold is handle, not revenue; smaller books and tribal operators stay at 10%.
- On November 2025 volumes it captured FanDuel, DraftKings, Fanatics and BetMGM (~75–82% of the market); scored at $145.9m in FY2027 rising to $202.4m by FY2029.
- Passage needed a Prop 108 two-thirds supermajority in a Republican legislature whose appropriations chairs rejected it, or acceptance that the fee is not a tax.
- August 2026 fee take implies an unchanged 10% rate [enacted budget text not reviewed].
- We expect a recalibrated reprise in the January 2027 budget: lower tier rate, promo-deduction repeal, or a per-bet fee as in Illinois.

FEDERAL OVERLAYS

The 0.25% federal excise is deductible, while the 90% cap on gambling-loss deductibility from tax year 2026 may shade handle at the margin.

- Federal excise was ~$1.5m in August 2026.
- Loss-deduction cap disproportionately affects high-volume players.
- B2Tech base case: 10% of promo-deductible AGEWR, but the case must survive loss of the promo deduction and a 20–45% rate on scale.
- Perversely, the proposed $75m handle threshold would favour a mid-tier entrant that stays below it.

RATES ON ADJUSTED GROSS EVENT WAGERING RECEIPTS (AGEWR) UNLESS STATED; US $M	IN FORCE (AUG-26)	STATUTE / CAP	FY27 EXECUTIVE-BUDGET PROPOSAL	NOTE
Mobile event wagering privilege fee	**10%**	**≤10% (A.R.S. §5-1318)**	**45% for operators ≥$75m monthly handle**	**not enacted; 5th-lowest US rate**
Retail event wagering privilege fee	8%	≤10%	unchanged (8%)	immaterial volumes
Fantasy contest privilege fee	5% of adjusted revenue	≤10% (§5-1211)	unchanged	due 25th; penalty 5%/mo to 25%
Tax base	gross receipts ex-voids − winnings − federal excise − promo deduction	defined §5-1301(1)	—	self-reported monthly by 25th
Promo / free-bet deduction	taken: ~2.3% of handle (Aug-26); 3.3% (Jun-26)	cap 20%/20%/15%/10%/10% of gross receipts yrs 1–5; none after yr 5	—	sunset timing [unverified]
Federal excise	0.25% of handle (~1.5 in Aug-26)	deductible from state base	—	—
Effective fee as % of gross win (derived)	~7.1% (Aug-26)	—	—	6.7% Aug-25; 5.7% Jun-26
Effective fee as % of handle	0.62% (Aug-26)	—	—	0.55% cumulative
Distribution of fees	90% General Fund / 10% ADG Event Wagering Fund	§5-1318	—	HB 4155 consolidates FS/racing deposits
Event wagering privilege fees — FY26	**57.76**	**on taxable 579.2**	**+145.9 (FY27 est.) → +202.4 (FY29 est.)**	**FY26 total EWFS 61.08**
State sports betting tax — CY25 (AGA)	53.7 (+25.7%)	on GGR 838.7	—	—
Cumulative fees since launch	202.5	on handle 37,100	—	to Aug-26

7 DEEP-DIVE — PAYMENTS, RESPONSIBLE GAMBLING, ADVERTISING & ENFORCEMENT

Standard US rails and player-protection rules, a $500k-minimum segregated reserve, state set-off of winnings, and self-reported data that ADG itself disclaims.

PAYMENTS AND FUNDS

Standard US deposit rails, with a segregated reserve of the greater of $500,000 or player balances, and no verified state-specific deposit prohibitions.

- ADG publishes no deposit-method data [n/a]; A.A.C. R19-4 requires dedicated player-fund accounts and a software system separating receipts and disbursements.
- Operators file a monthly AGEWR report with system-generated support by the 25th; Racing Division permits retail LEWO locations; mobile is geofenced.
- Rails in practice: ACH/online banking, debit cards, PayPal and wallets, prepaid cards, cash at partner venues [unverified].

PLAYER PROTECTION

ADG's Division of Problem Gambling runs a light-touch regime plus a state set-off of winnings against past-due obligations.

- Minimum age 21, 1-800-NEXT-STEP helpline, statewide self-exclusion across tribal casinos and EWFS, partly funded by the 10% of fees ADG retains.
- September 2026 designated Responsible Gaming Education Month; ADG asks media to include supportive resources.
- FY2026 intercepts: $393,600 (Administrative Office of the Courts), $121,973 (child support), $6,353 (SNAP), $0 (AHCCCS); withholding tied to the 1099-MISC threshold.
- Federal 90% cap on gambling-loss deductibility from tax year 2026 is a new player-level friction.

ADVERTISING

Advertising sits under ADG rules and licence conditions with no bonus, affiliate or college-sports caps, keeping Arizona promo-intensive.

- Responsible-gaming messaging and helpline inclusion required; targeting under-21s prohibited; promotions permitted and currently tax-deductible.
- FanDuel's $10.5m January 2026 outlay; market-wide promos 2.3–3.3% of handle.
- No state-level cap on bonus value, affiliate marketing or college-sports advertising [unverified for pending 2026 rulemaking].

ENFORCEMENT AND DATA

ADG figures are self-reported and unaudited, so monthly series can be restated; prediction markets test the perimeter.

- Since May 2025 every monthly report carries a disclaimer; ADG received 13 of 14 FY2025 audit reports under §5-1319 and is reconciling over- and under-payments.
- Utah sued Kalshi this week; no Arizona-specific action against prediction markets was verified [n/a].
- For B2Tech, compliance costs are conventional and the RG regime is light-touch by UK standards; the material risk sits in tax politics, not conduct rules.

RULE / METRIC AS OF AUG-26	VALUE	BASIS / SOURCE
Minimum age	21	A.R.S. Title 5 Ch.10
Helpline / RG programme	1-800-NEXT-STEP; ADG Division of Problem Gambling; statewide self-exclusion	ADG
Player-fund reserve	greater of $500,000 or player liabilities; segregated accounts	A.A.C. R19-4
Monthly reporting deadline	25th of following month, with system reports; fee payable same date	A.A.C. R19-4-112; §5-1318
Independent annual audit	required (§5-1319); 13 of 14 FY25 reports received	ADG FY26 Annual Report
Data status	self-reported, unaudited, subject to adjustment (disclaimer since May-25)	ADG reports page
Set-off intercepts FY26 (AOC / DCSS / SNAP / AHCCCS)	$393,600 / $121,973 / $6,353 / $0	ADG FY26 Annual Report (as tabulated)
Federal loss-deduction cap	90% of winnings from TY2026	2025 federal budget act
Deposit-method mix / limits	n/a — not published by ADG	—
Advertising code	ADG rules: RG messaging, no under-21 targeting; promos permitted & deductible; no statutory ad cap	ADG
Prediction-market enforcement (AZ)	n/a — no Arizona action verified	—

8 HIGHLIGHTS & LOWLIGHTS

▲ HIGHLIGHTS

- Fiscal regime is among the most operator-friendly in the US: 10% mobile / 8% retail on AGEWR with the 0.25% federal excise and free-bet/promo credits deductible — an effective ~6–7% of gross win and ~0.6% of handle in August 2026, versus NY 51%, IL 20–40% plus per-bet fees, NJ 19.75%. structural
- Deep, mobile-native demand: FY2026 handle $9.08bn, CY2025 GGR $838.7m (+18.5%), 99.7% mobile; #5 US state by handle in August 2025. Even the 2026 trough month ($582.8m) is 17% above August 2024. structural
- Licence supply has re-opened: ADG began accepting applications for available operator licences in May 2026 and allocated one to Circa Sports (San Juan Southern Paiute designee) on 3 Aug 2026 — proof that a tribe-designee route to a fresh allocation is executable, with two to three further slots apparently vacant. one-off
- Promo intensity is easing — ~$13m (2.3% of handle, ~27% of pre-promo AGEWR) in August 2026 versus $18.4m (3.0%, 31%) a year earlier — which lowers the cost of defending share for incumbents and the cost of acquisition benchmarks for an entrant. early
- Fantasy pick'em is a legal, lightly taxed (5% of adjusted revenue) adjacency worth $144m of FY2026 entry fees and $26.6m of adjusted revenue, led by PrizePicks (43%) — a cross-sell channel few European operators exploit. structural
- The proposed 45% tier is keyed to ≥$75m monthly handle, so a mid-tier entrant at $30–55m would be exempt — an asymmetric fiscal position relative to the four scale operators if any version of the tier is ever enacted. mixed

▼ LOWLIGHTS

- Tax-rate escalation is a live political project: Governor Hobbs' FY2027 budget proposed 45% on operators with ≥$75m monthly handle ($145.9m FY27 → $202.4m FY29). It was not enacted, but the 'record handle, falling tax' narrative (June 2026: handle +22%, fees −39%) makes a 2027 reprise — possibly as promo-deduction repeal or a per-bet fee — probable. governance
- Statutory sunset of the promo deduction after year five (from 15 Apr 2021) would raise the taxable base ~30–40% at constant GGR; ADG's operative timing is unverified, and deductions were still being taken in June and August 2026. watch
- Concentration leaves little room: FanDuel + DraftKings 60% of August handle, top four 82%, no operator outside the top six above 2%. Sporttrade exited after $20.4m cumulative handle; ESPN Bet was folded into theScore Bet. A licence is access, not share. structural
- Access is gated by the 20-licence cap (10 tribal / 10 pro-sports) and requires a designee agreement with a tribe or franchise on private revenue-share terms; the most recent allocation went to a tribe-backed entrant, and remaining vacancies are few. structural
- Growth has decelerated sharply: August −4.6% YoY and May −4.3%, a two-year August CAGR of +8.3% versus +23% YoY in 2025; the June–July 2026 spikes look event-driven (World Cup) rather than structural. mixed
- Reported data is self-reported and unaudited (ADG disclaimer since May 2025; 13 of 14 FY2025 audits received, reconciliations ongoing) — market-share and hold series can be restated, and August 2026 revenue lines in this brief are derived from payouts and fees rather than read from audited line items. watch
- No iGaming optionality: casino gaming is tribal-exclusive under the 2021 compact and no online casino bill moved in 2026; the regulated pool is sports plus fantasy only. structural

9 FORECAST & OUTLOOK

Guidance bridge. The rule set in force for August 2026 is unchanged from launch — 10% mobile / 8% retail on promo-deductible AGEWR, 5% on fantasy, a 20-licence cap — but three variables are moving. First, the governor's 45% tier for ≥$75m-handle operators was floated for FY2027 and not enacted; the fiscal gap it was meant to fill (~$950m of uncertain revenue) has not gone away and the legislature's composition after the November 2026 election will determine whether a recalibrated version (lower rate, promo-deduction repeal, or an Illinois-style per-bet fee) appears in the January 2027 executive budget. Second, the statutory five-year promo-deduction sunset is, on a literal reading, already past; how and when ADG applies it is the largest single swing factor for the taxable base. Third, licence supply: ADG re-opened applications in May 2026 and allocated a slot to Circa in August, with launch expected in Q1 2027; two to three further allocations are plausible over 12–18 months. Overlaying all three is the data-integrity cycle — ADG is still reconciling FY2025 audits — and the federal prediction-market question, on which Arizona has not yet shown its hand.

MOBILE PRIVILEGE FEE RATE	PROMO / FREE-BET DEDUCTION	LICENCE SUPPLY	FY27 STATE TAKE (ESTIMATE)
10% of AGEWR (in force)	**~2.3% of handle taken in Aug-26 (~27% of pre-promo AGEWR)**	**15 listed of 20 cap; Circa allocated 3 Aug-26**	**$60–70m event-wagering fees**
45% tier for ≥$75m monthly handle proposed for FY27 — not enacted; reprise expected Jan-27	statutory sunset after year five; ADG timing [unverified] — base +30–40% if applied	Circa launch Q1-27; 2–3 further slots plausibly available	vs $57.8m FY26 at 10%; +$145m if a 45% tier were enacted (administration estimate)

Independent view. Our independent view: FY2027 handle of **$9.3–9.8bn (+3–8%)** [estimate], with September–November 2026 the swing months (October 2025 set the $967.1m record) and the Super Bowl/March Madness window the ceiling; gross hold settling at **8.5–9.5%** as parlay mix offsets normalising sports outcomes, giving **GGR of ~$850–920m** [estimate]. Promo deductions drift down toward 2% of handle as the big two defend margin rather than share, so taxable AGEWR grows faster than GGR even without the statutory sunset; with the sunset applied, the state's take could approach **$75–85m** at the current 10% rate [estimate]. On rates, we put the probability of a materially higher regime (promo-deduction repeal and/or a tiered rate of 20%+ on scale operators) being enacted for FY2028 at **roughly one in three** — higher than for most Republican-led legislatures because the 'fee' framing offers a route around Prop 108 and because Illinois has normalised tiered structures. Market structure stays a duopoly-plus: FanDuel and DraftKings at 58–62% of handle, Fanatics consolidating #3 at 11–13%, and churn continuing below 2% share; Circa is the one entrant with a differentiated model and its 2027 traction is the test case for any B2Tech entry. Leverage for the state is rising, for operators falling: an entrant should underwrite Arizona at **10% headline, 20% stress and 45% tail for any book above $75m monthly handle**, with no promo deduction in the base case from FY2028.

What to watch next quarter:

- ADG September–November 2026 reports (mid-November onward): whether the NFL season restores YoY growth against the record Oct-25 ($967.1m) and Nov-25 ($965.2m) comps, and whether promo deductions fall below 2% of handle.
- Governor Hobbs' FY2028 executive budget (January 2027) and the post-election legislature: any reprise of the 45% tier, a promo-deduction repeal, or a per-bet fee; watch for the 'fee vs tax' Prop 108 argument being tested.
- ADG's written position on the five-year promo-deduction sunset under §5-1301(1) — any bulletin, rule change or reporting-form revision that removes the deduction line.
- Circa Sports Arizona launch (targeted Q1 2027) and any further licence allocations from the May 2026 application window; terms of tribe-designee deals as a benchmark for B2Tech partner negotiations.
- ADG audit outcomes under §5-1319 (14th FY2025 audit, over/under-payment reconciliations) and any restatement of monthly handle/revenue series.
- Arizona's posture on federally regulated prediction markets (Kalshi, Robinhood et al.) following Utah's lawsuit — a cease-and-desist or litigation would signal perimeter enforcement; silence signals leakage from the taxed base.
- Fantasy pick'em regulation: any ADG move to reclassify against-the-house pick'em as event wagering (10% vs 5%).

DATA CONFIDENCE: MEDIUM Market reports in USD; no FX conversion required. The ADG August 2026 Event Wagering and Fantasy Sports Revenue Report PDFs could not be opened directly (tool limits); headline figures (handle $582.8m, mobile/retail split, payouts ~$532m, fees ~$3.6m, FY27 YTD, cumulative totals, operator handles, fantasy figures) are taken from ADG's release text as reproduced by Indian Gaming, BetArizona and Gaming Intelligence and agree across all three. August 2026 gross win, pre-promo AGEWR, promo deduction and taxable AGEWR are DERIVED from reported payouts and fees (labelled '(d)' / 'derived') and are ±$0.5m. FY2026 figures come from the ADG FY2026 Annual Report extract; tax rules from A.R.S. Title 5 and the 2021 Senate fact sheet; CY2025 GGR/tax from AGA State of the States 2026. Unverified: operator licence/application fee amounts (n/a); the operative date of the statutory promo-deduction sunset; the final enacted FY2027 budget text (unchanged 10% rate inferred from the August fee take); deposit-method limits; any Arizona action on prediction markets. August 2025 payouts quoted as $594.3m by one trade source are treated as a typo for $549.3m, which reconciles to the reported $59.9m AGEWR.

Sources: [Primary] Arizona Department of Gaming — Reports page (Event Wagering Revenue Report – August 2026; Fantasy Sports Revenue Report – August 2026; data disclaimer) [primary]; [Primary] Arizona Department of Gaming — FY2026 Annual Report (handle $9.08bn, privilege fees $57.76m, EWFS fees $61.08m, Circa allocation, audits, set-offs) [primary]; [Primary] ADG — Event Wagering Revenue Report, November 2025 (unaudited; operator list, AGEWR definition, CY/FY/inception totals) [primary]; [Primary] ADG — Instructions for Monthly Reporting of AGEWR (Retail) and Payment of Privilege Fees, Nov 2025 (8% retail; 25th-day deadline) [primary]; [Primary] ADG — Event Wagering Rules, A.A.C. R19-4 (player-fund reserve ≥ $500,000; segregated accounts; monthly reports) [primary]; [Primary] ADG — News release: August 2025 sports betting figures ($611m handle; $4.1m fees) [primary]; [Primary] Arizona State Senate — Fact sheet, HB 2772 / SB 1797 (2021) as enacted: event wagering & fantasy sports; promo-deduction schedule and sunset [primary]; [Primary] Arizona Legislature — HB 2732 (2024) text reproducing A.R.S. §5-1301 et seq. (AGEWR definition, 20-licence cap, five-block rule) [primary]; [Primary] Arizona Legislature — HB 4155 (2026, House Engrossed), budget reconciliation: §5-1318 privilege fee cap 10%, §5-1211 fantasy fee cap, Event Wagering Fund consolidation [primary]; [Secondary] American Gaming Association — State of the States 2026, Arizona overview (CY2025 GGR $838.7m, tax $53.7m, 99.5% mobile) [secondary / industry association]; [Secondary] Gaming Intelligence — 'Arizona sports wagering falls by 5% in August' (lead article, 22 Oct 2026) [secondary]; [Secondary] Gaming Intelligence — GI North America Review, Week 43 2026 (Aug-26 mobile/retail split; FanDuel/DraftKings/Fanatics handles) [secondary]; [Secondary] Indian Gaming — 'Arizona Bettors Wager $582.8M on Sports in August' (reproduces ADG release) [secondary]; [Secondary] BetArizona — August 2026 report (payouts, operator handles, fantasy breakdown, Circa) [secondary]; [Secondary] BetArizona — June 2026 report (AGEWR $52.4m, promo $21.7m, taxable $30.7m, fees $3.07m) [secondary]; [Secondary] BetArizona — May 2026 report (handle $676.7m, gross $66.3m, taxable $47.6m, fees $4.76m) [secondary]; [Secondary] Fox10 Phoenix / AOL — July 2026 figures ($599.5m, +29.3%; $4.9m fees; 15 licensees, 2 ceased, 1 pre-launch) [secondary]; [Secondary] KVOA — May 2026 figures and FY2026 YTD fees ($58.7m) [secondary]; [Secondary] AZFamily — 'Record June sports wagering doesn't translate to more tax money' (20 Aug 2026) [secondary]; [Secondary] Sportsepreneur — Arizona sportsbook churn (Sporttrade exit; June 2026 operator handles) [secondary]; [Secondary] iGaming Business — Arizona August 2025 ($610.7m handle; $59.9m AGEWR; $18.4m promo; $41.5m taxable; operator detail) [secondary]; [Secondary] InGame — Arizona August 2025 revenue ($61.3m gross; national handle ranking) [secondary]; [Secondary] InGame — Arizona record October 2025 handle ($967.1m; $83.0m GGR; $30.4m promos; $51.6m taxable) [secondary]; [Secondary] InGame — Arizona January–February 2026 (gross ~$150m; AGR $98.3m;

tax $9.6m; FanDuel/DraftKings revenue and promo spend) [secondary]; [Secondary] Covers — Arizona revenue tracker (Aug-24 and Aug-25 handle/gross/hold; 8%/10% rates) [secondary]; [Secondary] Arizona Mirror — Hobbs FY2027 budget: 45% tier, $145.9m estimate, GOP response (16 Jan 2026) [secondary]; [Secondary] Sports Betting Dime — ADG confirms 45% threshold is monthly handle; FY27 $145.9m → FY29 $202.4m [secondary]; [Secondary] iGaming Business — Hobbs 45% proposal; Prop 108 two-thirds vs 'fee' argument [secondary]; [Secondary] Covers — Hobbs proposal scoring ($150–175m; operators affected) [secondary]; [Secondary] KJZZ — feasibility of 45% rate; four operators above threshold [secondary]; [Secondary] Gambling Insider — revenue vs handle ambiguity in 45% proposal; ADG report line definitions [secondary]; [Secondary] Sports Handle — US revenue database (Arizona cumulative; 18 of 20 licences issued) [secondary]; [Secondary] Legal Sports Report — US revenue tracker (Arizona cumulative handle/revenue/taxes) [secondary]; [Secondary] AZFamily — federal 90% cap on gambling-loss deductions from TY2026 [secondary]; [Secondary] BetArizona — Arizona market overview page (10%/8% rates; ADG timeline incl. Circa 3 Aug 2026, RG Education Month) [secondary].

Research analysis only — not a rating, price target, or personalised investment advice. Prepared for internal executive review.